

# PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds  
From: Mohnish Pabrai, Managing Partner  
Date: January 14, 2015  
Re: **2014 Results et. al.**

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Dear Partners:

Happy New Year! December 31 was our annual redemption date. A total of \$41.6 Million was redeemed from the various funds in 2014. The redemptions on a per fund basis are:

PIF2: \$8.8 Million                      PIF3: \$7.1 Million                      PIF4: \$25.7 Million

Included in the above redemptions is \$2.3 Million from PIF2 and \$4.5 million from PIF4 by Dalal Street, Inc. These redemptions were made to cover taxes, office expenses and to fund my family's contributions to The Dakshana Foundation.

As a reminder, while PIF2 and PIF4 are closed to new investors (or additions from existing investors), PIF3 re-opened to new money from existing or new investors on August 1, 2012. PIF3 is our offshore fund for Accredited Investors and Institutions based outside the United States. To invest in PIF3, one needs to be a non-US accredited offshore investor, private foundation, endowment, or IRA.

The minimum investment to join as a new partner is \$2.5 million for individuals and \$10 million for IRAs/Foundations/Endowments. For current investors, the minimum addition to their current investment is \$25,000. The next opening is on February 1, 2015. If you are interested or would like more information, please contact Julie Teltscher or me at [jteltscher@pabraifunds.com](mailto:jteltscher@pabraifunds.com) and [mp@pabraifunds.com](mailto:mp@pabraifunds.com), respectively.

For the quarter ended December 31, 2014, \$150k was added to PIF3 by existing and new partners.

*Please note that various indices in this letter are included for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.*

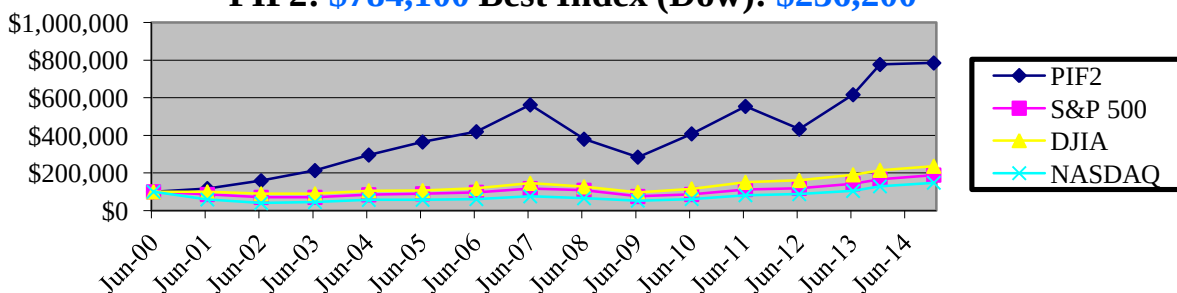
The updated performance numbers on all the funds are:

**PABRAI INVESTMENT FUND 2 (US Accredited Investors) Performance Summary:**

|                   | <b>DJIA</b> | <b>NASDAQ</b> | <b>S&amp;P 500</b> | <b>PIF2</b><br>(net to investors) |
|-------------------|-------------|---------------|--------------------|-----------------------------------|
| 10/1/00-6/30/01   | -0.2%       | -41.0%        | -14.0%             | +17.4%                            |
| 7/1/01-6/30/02    | -10.3%      | -32.7%        | -18.0%             | +35.3%                            |
| 7/1/02-6/30/03    | -0.5%       | +11.4%        | +0.3%              | +34.2%                            |
| 7/1/03-6/30/04    | +18.6%      | +26.8%        | +19.1%             | +38.7%                            |
| 7/1/04-6/30/05    | +0.7%       | +1.1%         | +6.3%              | +23.4%                            |
| 7/1/05-6/30/06    | +11.1%      | +6.5%         | +8.6%              | +15.0%                            |
| 7/1/06-6/30/07    | +23.0%      | +20.7%        | +20.6%             | +34.0%                            |
| 7/1/07-6/30/08    | -13.3%      | -11.2%        | -13.1%             | -32.4%                            |
| 7/1/08-6/30/09    | -23.0%      | -19.1%        | -26.2%             | -25.2%                            |
| 7/1/09-6/30/10    | +18.9%      | +16.0%        | +14.4%             | +43.6%                            |
| 7/1/10-6/30/11    | +30.4%      | +32.9%        | +30.7%             | +35.8%                            |
| 7/1/11-6/30/12    | +5.2%       | +5.4%         | +3.9%              | -21.8%                            |
| 7/1/12-6/30/13    | +18.9%      | +17.8%        | +20.6%             | +42.2%                            |
| 7/1/13-6/30/14    | +15.5%      | +31.2%        | +24.6%             | +26.7%                            |
| 7/1/14-12/31/14   | +7.2%       | +8.1%         | +6.1%              | +0.4%                             |
| 1/1/14-12/31/14   | +10.0%      | +14.8%        | +13.7%             | +0.9%                             |
| <b>Annualized</b> | +6.2%       | +2.8%         | +4.6%              | +15.5%                            |
| <b>Cumulative</b> | +136.2%     | +47.9%        | +89.0%             | +684.1%                           |

**Comparison of changes in value of \$100,000  
invested in PIF2 vs. the Indices.**

**PIF2: \$784,100 Best Index (Dow): \$236,200**

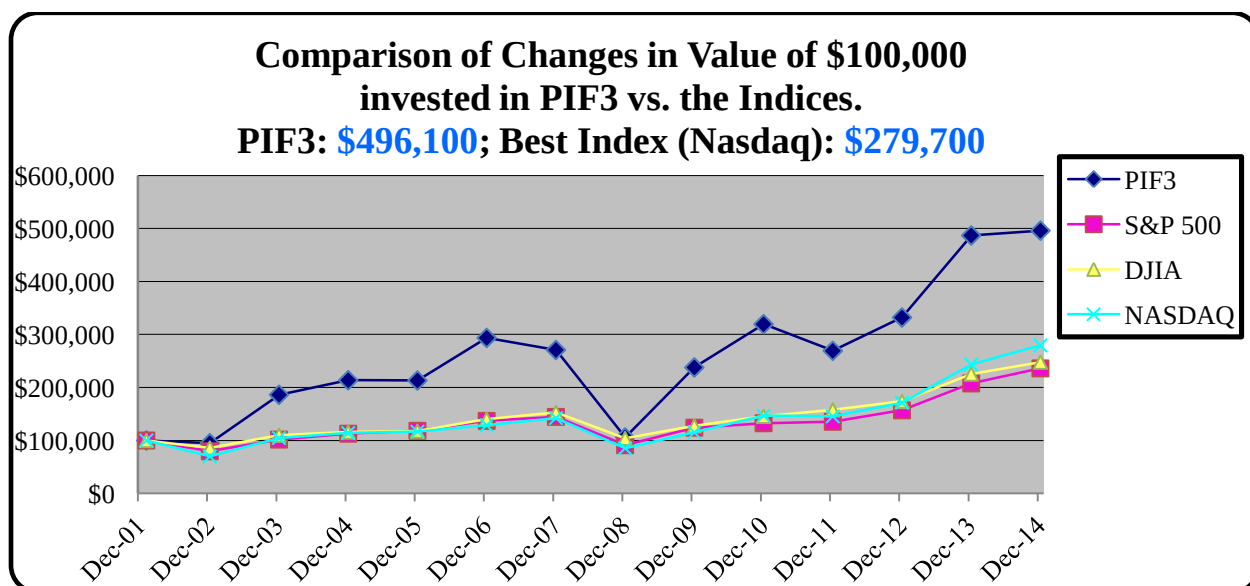


**PIF2 Investors:**

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,098,600 as of December 31, 2014 (net to investors). This equates to an annualized return of 16.7% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of \$100,000 in the DJIA on July 1, 1999 was worth \$233,800 on December 31, 2014 – an annualized gain of 5.6%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

### PABRAI INVESTMENT FUND 3 (Offshore/IRA Investors) Performance Summary:

|                   | DJIA    | NASDAQ  | S&P 500 | PIF3<br>(net to investors) |
|-------------------|---------|---------|---------|----------------------------|
| 2/1/02-12/31/02   | -14.1%  | -29.9%  | -20.4%  | -5.2%                      |
| 1/1/03-12/31/03   | +28.3%  | +50.8%  | +28.7%  | +96.5%                     |
| 1/1/04-12/31/04   | +5.3%   | +9.2%   | +10.9%  | +14.7%                     |
| 1/1/05-12/31/05   | +1.7%   | +2.1%   | +4.9%   | -0.2%                      |
| 1/1/06-12/31/06   | +19.0%  | +10.4%  | +15.8%  | +37.8%                     |
| 1/1/07-12/31/07   | +8.9%   | +10.7%  | +5.5%   | -7.8%                      |
| 1/1/08-12/31/08   | -31.9%  | -39.9%  | -37.0%  | -60.9%                     |
| 1/1/09-12/31/09   | +22.7%  | +45.4%  | +26.5%  | +125.0%                    |
| 1/1/10-12/31/10   | +14.1%  | +18.2%  | +15.1%  | +34.4%                     |
| 1/1/11-12/31/11   | +8.4%   | -0.8%   | +2.1%   | -15.7%                     |
| 1/1/12-12/31/12   | +10.2%  | +17.7%  | +16.0%  | +23.4%                     |
| 1/1/13-12/31/13   | +29.6%  | +40.2%  | +32.4%  | +46.6%                     |
| 1/1/14-12/31/14   | +10.0%  | +14.8%  | +13.7%  | +1.9%                      |
| <b>Annualized</b> | +7.3%   | +8.3%   | +6.9%   | +13.2%                     |
| <b>Cumulative</b> | +147.9% | +179.7% | +136.1% | +396.1%                    |

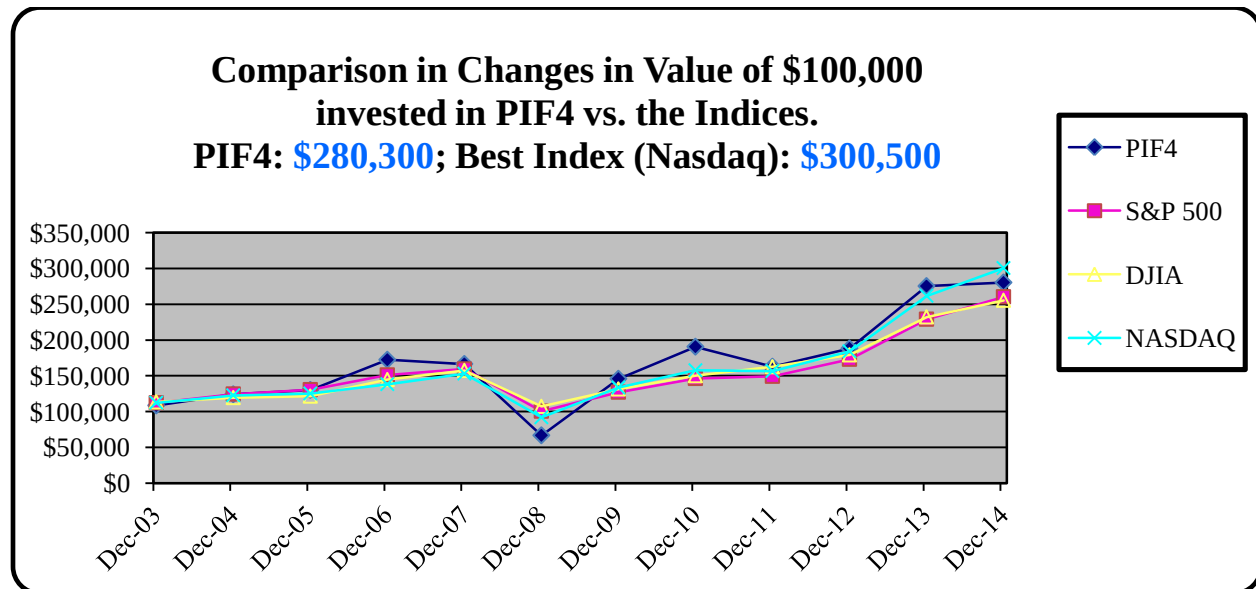


#### PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$496,100 as of December 31, 2014 (net to investors). This equates to an annualized return of 13.2% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on February 1, 2002 was worth \$279,700 on December 31, 2014 – an annualized gain of 8.3%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

## PABRAI INVESTMENT FUND 4 (US Qualified Investors) Performance Summary:

|                   | DJIA           | NASDAQ         | S&P 500        | PIF4<br>(net to investors) |
|-------------------|----------------|----------------|----------------|----------------------------|
| 10/1/03-12/31/03  | +13.4%         | +12.3%         | +12.2%         | +8.4%                      |
| 1/1/04-12/31/04   | +5.3%          | +9.2%          | +10.9%         | +14.4%                     |
| 1/1/05-12/31/05   | +1.7%          | +2.1%          | +4.9%          | +4.9%                      |
| 1/1/06-12/31/06   | +19.0%         | +10.4%         | +15.8%         | +32.4%                     |
| 1/1/07-12/31/07   | +8.9%          | +10.7%         | +5.5%          | -3.4%                      |
| 1/1/08-12/31/08   | -31.9%         | -39.9%         | -37.0%         | -60.0%                     |
| 1/1/09-12/31/09   | +22.7%         | +45.4%         | +26.5%         | +118.8%                    |
| 1/1/10-12/31/10   | +14.1%         | +18.2%         | +15.1%         | +30.7%                     |
| 1/1/11-12/31/11   | +8.4%          | -0.8%          | +2.1%          | -14.8%                     |
| 1/1/12-12/31/12   | +10.2%         | +17.7%         | +16.0%         | +16.1%                     |
| 1/1/13-12/31/13   | +29.6%         | +40.2%         | +32.4%         | +46.0%                     |
| 1/1/14-12/31/14   | +10.0%         | +14.8%         | +13.7%         | +1.8%                      |
| <b>Annualized</b> | <b>+8.7%</b>   | <b>+10.3%</b>  | <b>+8.9%</b>   | <b>+9.6%</b>               |
| <b>Cumulative</b> | <b>+155.5%</b> | <b>+200.5%</b> | <b>+160.3%</b> | <b>+180.3%</b>             |



### PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$280,300 as of December 31, 2014 (net to investors). This equates to an annualized gain of 9.6% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on October 1, 2003 was worth \$300,500 on December 31, 2014 – an annualized gain of 10.3%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

## **General Comments**

Even the not-so-diligent reader will note that Pabrai Funds significantly underperformed all three benchmark indices in 2014. The funds were up between 0.9% and 1.9% while the three indices were up between 10% and 14.8%. It has always been difficult for me to speak intelligently about one year numbers. It's too short a period to draw any conclusions.

I like what we own - quite a bit! The discount from underlying intrinsic value presently is one of the widest in the 15+ year history of Pabrai Funds. And this bodes well for our future. I fully expect the funds to meaningfully outperform the underlying indices in the next few years.

PIF2 and PIF4 investors have observed some very significant realized gains in the estimated K-1's for the 2014 tax year. As you'll recall, these two funds were up 50% and 46% respectively in 2013 with very muted realized gains in 2013. I deferred as much as I could into 2014 and beyond. Hence the mismatch between fund performance and realized gains reported on your K-1. Think of it as a temporary free loan by Uncle Sam! Eventually we gotta pay, and hence the higher gains that are going to show up in your 2014 K-1.

## **Alignment of Interests**

My immediate family has a stake of 246,335 units of PIF2, 8,417 units of PIF3, 1,065,179 units of PIF4; and about 33,000 units of PIF4 in a retirement account. In addition, the administrative team at Pabrai Funds owns about 1,300 units of PIF4 and about 5,900 units of PIF3 in various retirement accounts. The aggregate stake in Pabrai Funds of the Pabrai family and staff at Pabrai Funds is worth about \$51 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No performance fees were earned by the funds in Q4 2014.

Besides a \$9 million investment in Dhandho Holdings, my family and I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

## **2014 Annual Meeting Transcript**

The Annual Meeting transcript is posted on our website. Here is the link to the transcript:

[http://www.pabraifunds.com/website/2014\\_PIF\\_AM\\_Transcript.pdf](http://www.pabraifunds.com/website/2014_PIF_AM_Transcript.pdf)

The transcript is best read in conjunction with the presentation slides (the password to the video is “Warren”):

<https://vimeo.com/106862214>

P.S: Turn up the volume!

## **Presentations and Interviews**

I lectured via Skype to students at **Carroll School of Management (Boston College)** on October 9<sup>th</sup>, 2014. You can watch the session on Youtube:

<https://www.youtube.com/watch?v=dnS5xWIxo1I>

**Jake Taylor hosts 5 Good Questions** and interviewed Guy Spier and me in November, 2014. You can see the interview here:

Part 1: <http://fivegoodquestions.wistia.com/medias/wors934gnv>

Part 2: <http://fivegoodquestions.co/season-1/s1e9>

I was interviewed by **The Economic Times, ET Now**, at the Value Investing Summit on December 30<sup>th</sup>, 2014. Here is a link to the interview:

<http://bit.ly/13RYW7k>

I had a live interview on **Bloomberg TV India** via Skype on January 15, 2015. The topics were "Demystifying Stock Market Investing" and "Demographics of India Promising For The Future." Here are the links to the broadcast:

<http://www.btvn.com/videos/watch/10563/demystifying-stock-market-investing>

<http://www.btvn.com/videos/watch/10562/%e2%80%9cdemographics-of-india-promising-for-the-future%e2%80%9d>

## **Barrons Online Article**

Barrons Online published an article, "Buffet Disciple Mohnish Pabrai on Bank of America, Citi, Google, and Hyundai" on December 9<sup>th</sup>, 2014. Here is a link to the article:

[http://www.pabraifunds.com/website/Barrons\\_online\\_Dec\\_9\\_2014.pdf](http://www.pabraifunds.com/website/Barrons_online_Dec_9_2014.pdf)

## **Annual Report – Will be out in May 2015**

Our modus operandi is now to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in May, 2015.

## **Final K-1's (for US Investors)**

For PIF2 and PIF4 investors, we expect your final K-1s to be emailed to you (password protected) in March 2015.

## **Privacy Policy**

Dalal Street, LLC, Managing Partner/Director of Pabrai Investment Fund 2, Pabrai Investment Fund 3, and Pabrai Investment Fund 4, is required by law to inform investors annually of our policy regarding privacy of client information. Here is the link to the Privacy Policy - [Privacy Policy](#)

## **2015 Annual Meetings – Save the Date**

As is our usual modus operandi, there will be two annual meetings sequentially at Orange County, California & Chicago, Illinois.

The **California** meeting is scheduled to be on **Saturday, September 12th, 2015** at 4:00 PM at:

### [Soka University](#)

Performing Arts Center

1 University Drive, Aliso Viejo, California 92656

Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20 minute drive from Orange County Airport (SNA), and about an hour drive from LAX.

There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

### [Marriott Renaissance ClubSport](#)

50 Enterprise

Aliso Viejo, CA 92656

Reservations: 800-468-3571

Phone: 949-643-6700

There are many hotels in the area. Here is a link to other hotels near Soka University:

<http://tinyurl.com/8dmevvu>

The **Chicago** meeting is thus scheduled to be on **Saturday, Sept. 19th, 2015** at 4:00 PM at:

### [Carlucci's Restaurant](#)

(The Auditorium)

6111 North River Road, Rosemont, Illinois 60018

Tel. +1847.518.0990

Carlucci's is a five minute taxi ride away from O'Hare airport. [The Marriott Suites O'Hare](#) and [The Westin O'Hare](#) are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity. Good deals on O'Hare hotels are usually available on the major travel-related websites.



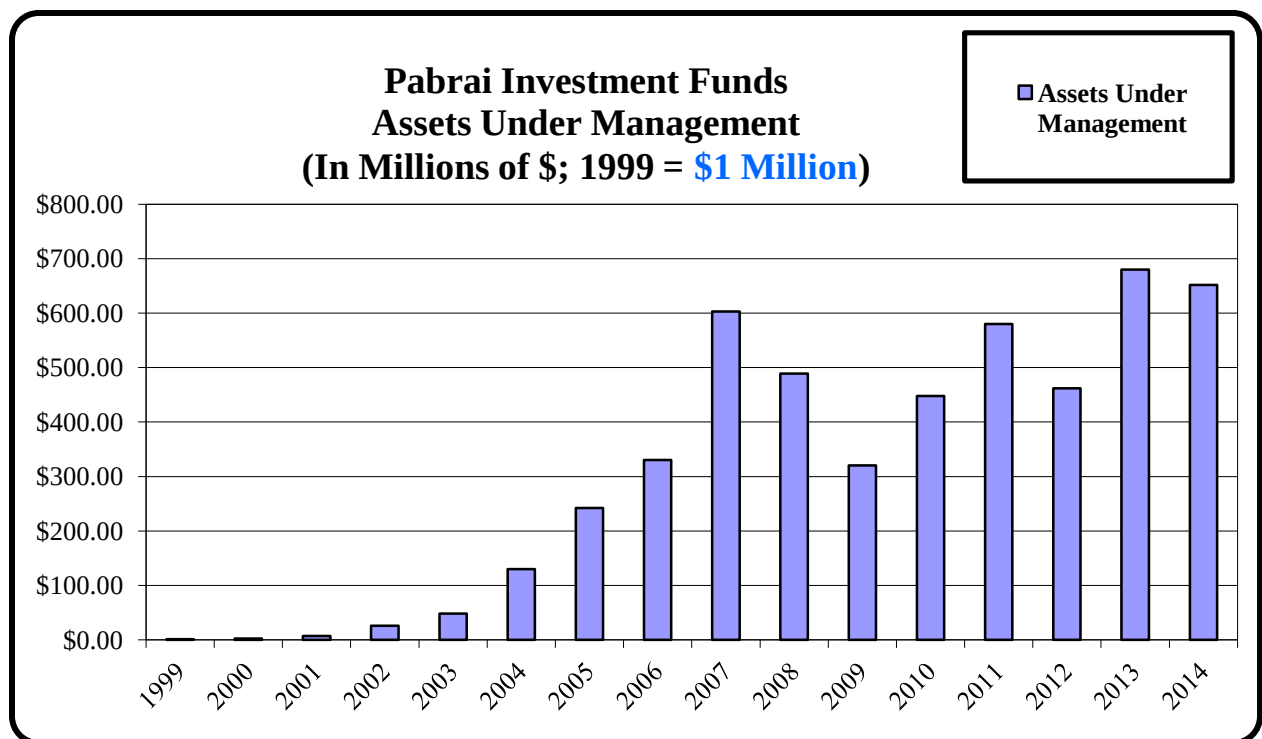
## Agenda:

4:00 – 4:30 PM: Meet and Greet  
4:30 – 6:30 PM: Presentation and Q&A  
6:30 – 7:15 PM: Cocktail Hour  
7:15 PM: Dinner

The invites will go out in July, 2015. Your significant other and kids of all ages are welcome to attend. I look forward to seeing you in September.

## Assets Under Management

There is \$652 million in assets under management between all the funds as of January 1, 2015.



Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at [mp@pabraifunds.com](mailto:mp@pabraifunds.com) with any queries or comments.

Warm regards,

Mohnish Pabrai

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## Appendix

### PIF2's Performance History (Net to Investors)

| <b>No. of<br/>Units</b> | <b>Date</b> | <b>PIF2 NAV</b> |
|-------------------------|-------------|-----------------|
| 110,000                 | 10/1/2000   | \$10.00         |
| 330,014                 | 6/30/2001   | \$11.74         |
| 1,027,795               | 6/30/2002   | \$15.89         |
| 1,950,982               | 6/30/2003   | \$21.32         |
| 2,445,212               | 6/30/2004   | \$29.58         |
| 2,696,687               | 6/30/2005   | \$36.52         |
| 2,646,687               | 6/30/2006   | \$41.99         |
| 3,013,111               | 6/30/2007   | \$56.25         |
| 2,934,990               | 6/30/2008   | \$38.01         |
| 2,468,091               | 6/30/2009   | \$28.45         |
| 2,409,165               | 6/30/2010   | \$40.84         |
| 2,257,421               | 6/30/2011   | \$55.46         |
| 2,180,892               | 6/30/2012   | \$43.36         |
| 2,057,676               | 6/30/2013   | \$61.68         |
| 1,906,927               | 6/30/2014   | \$78.13         |
| 1,906,927               | 9/30/2014   | \$73.98         |
| 1,795,006               | 12/31/2014  | \$78.41         |

### PIF3's Performance History (Net to Investors)

| <b>No. of<br/>Units</b> | <b>Date</b> | <b>PIF3 NAV</b> |
|-------------------------|-------------|-----------------|
| 65,100                  | 2/1/2002    | \$10.00         |
| 265,919                 | 12/31/2002  | \$9.48          |
| 485,041                 | 12/31/2003  | \$18.63         |
| 1,774,753               | 12/31/2004  | \$21.37         |
| 2,478,793               | 12/31/2005  | \$21.32         |
| 2,930,608               | 12/31/2006  | \$29.37         |
| 6,438,615               | 12/31/2007  | \$27.09         |
| 5,415,189               | 12/31/2008  | \$10.57         |
| 5,038,658               | 12/31/2009  | \$23.79         |
| 4,885,267               | 12/31/2010  | \$31.95         |
| 4,701,613               | 12/31/2011  | \$26.92         |
| 4,318,818               | 12/31/2012  | \$33.21         |
| 4,384,591               | 12/31/2013  | \$48.70         |
| 4,290,222               | 12/31/2014  | \$49.61         |

**PIF4's Performance History (Net to Investors)**

| <b>No. of<br/>Units</b> | <b>Date</b> | <b>PIF4 NAV</b> |
|-------------------------|-------------|-----------------|
| 595,030                 | 10/1/2003   | \$10.00         |
| 1,219,330               | 12/31/2003  | \$10.84         |
| 5,627,712               | 12/31/2004  | \$12.40         |
| 9,314,803               | 12/31/2005  | \$13.01         |
| 11,528,331              | 12/31/2006  | \$17.23         |
| 16,899,746              | 12/31/2007  | \$16.64         |
| 15,737,042              | 12/31/2008  | \$6.66          |
| 15,725,066              | 12/31/2009  | \$14.57         |
| 15,251,129              | 12/31/2010  | \$19.05         |
| 14,493,713              | 12/31/2011  | \$16.24         |
| 12,398,564              | 12/31/2012  | \$18.85         |
| 11,560,683              | 12/31/2013  | \$27.53         |
| 10,642,015              | 12/31/2014  | \$28.03         |